NEXACORE TECH SOLUTIONS LLP

LLPIN: AAX-8742

Regd. Office: Unit 402, Cyber Park, Electronic City Phase 1, Bengaluru, Karnataka 560100

AUDITED FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR 2023-24

Statutory Auditors:

M/s. Venkat & Gupta Associates
Chartered Accountants
Firm Registration No: 204918S

INDEPENDENT AUDITOR'S REPORT

To the Partners of NexaCore Tech Solutions LLP

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of **NexaCore Tech Solutions LLP** ("the LLP"), which comprise the Balance Sheet as at 31st March 2024, the Statement of Profit and Loss, and the Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Limited Liability Partnership Act, 2008 and the Limited Liability Partnership Rules, 2009 in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the LLP as at 31st March 2024, its profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) issued by the Institute of Chartered Accountants of India (ICAI). Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the LLP in accordance with the Code of Ethics issued by the ICAI together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Limited Liability Partnership Act, 2008, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Management's Responsibility for the Financial Statements

The Designated Partners are responsible for the preparation of these financial statements that give a true and fair view of the financial position, financial performance, and cash flows of the LLP in accordance with the accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records for safeguarding of the assets of the LLP and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists.

Report on Other Legal and Regulatory Requirements

We further report that:

- (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

- (b) In our opinion, proper books of account as required by law have been kept by the LLP so far as it appears from our examination of those books.
- (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account.

For Venkat & Gupta Associates
Chartered Accountants
Firm Registration No: 204918S

[Firm Seal]

CA. Ramesh Gupta
Partner
Membership No: 239481
UDIN: 24239481BCAXYZ8765

Place: Bengaluru
Date: 05th September 2024

BALANCE SHEET AS AT 31ST MARCH 2024

(All amounts in ₹, unless otherwise stated)

Particulars	Note	As at 31 March 2024	As at 31 March 2023
I. CONTRIBUTION AND LIABILITIES			
1. Partners' Funds			
(a) Partners' Capital Accounts	3	5,000,000	5,000,000
(b) Partners' Current Accounts (Retained Earnings)	4	12,000,000	8,200,000
2. Liabilities			
(a) Trade Payables	5	1,500,000	1,100,000
(b) Short-Term Provisions	6	4,500,000	3,200,000
TOTAL		**23,000,000**	**17,500,000**
II. ASSETS			
1. Non-Current Assets			
(a) Property, Plant and Equipment	7	2,800,000	2,100,000
2. Current Assets			
(a) Trade Receivables	8	8,500,000	6,500,000
(b) Cash and Bank Balances	9	11,200,000	8,400,000
(c) Other Current Assets		500,000	500,000
TOTAL		**23,000,000**	**17,500,000**

As per our report of even date attached.

For Venkat & Gupta Associates Chartered Accountants FRN: 204918S		For and on behalf of **NexaCore Tech Solutions LLP**
	Ananya Sharma	**Rahul Verma**
CA. Ramesh Gupta	Designated Partner	Designated Partner
Partner (M. No: 239481)	DPIN: 05837261	DPIN: 07482910

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH 2024

(All amounts in ₹, unless otherwise stated)

Particulars	Note	Year ended 31 March 2024	Year ended 31 March 2023
I. Revenue from Operations (Software Services)	10	55,000,000	42,000,000
II. Other Income		500,000	300,000
III. Total Revenue (I + II)		**55,500,000**	**42,300,000**
IV. Expenses:			
Employee Benefit Expenses (Salaries)	11	32,000,000	25,500,000
Cloud Infrastructure & Software Licenses		4,500,000	3,200,000
Office Rent & Maintenance		1,800,000	1,600,000
Professional & Legal Fees		1,200,000	950,000
Depreciation and Amortization	7	600,000	450,000
Other Administrative Expenses (Incl. GST non-creditable)	12	1,400,000	1,100,000
Total Expenses (IV)		**41,500,000**	**32,800,000**
V. Profit Before Tax (III - IV)		**14,000,000**	**9,500,000**
VI. Tax Expense:			
Current Tax Provision	13	4,200,000	2,850,000
VII. Net Profit After Tax for the Period (V - VI)		**9,800,000**	**6,650,000**

STATEMENT OF PARTNERS' CAPITAL ACCOUNTS

(All amounts in ₹, unless otherwise stated)

Particulars	Ananya Sharma	Rahul Verma	Total
A. Fixed Capital Account			
Opening Balance as on 01 April 2023	2,500,000	2,500,000	5,000,000
Add: Additions during the year	-	-	-
Closing Balance as on 31 March 2024	**2,500,000**	**2,500,000**	**5,000,000**
B. Current Account			
Opening Balance as on 01 April 2023	4,100,000	4,100,000	8,200,000
Add: Share of Profit for the year (50:50)	4,900,000	4,900,000	9,800,000
Less: Drawings during the year	(3,000,000)	(3,000,000)	(6,000,000)
Closing Balance as on 31 March 2024	**6,000,000**	**6,000,000**	**12,000,000**

CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2024

(All amounts in ₹, unless otherwise stated)

Particulars	Year ended 31 March 2024
A. Cash Flow from Operating Activities	
Net Profit Before Tax	14,000,000
Add: Depreciation and Amortisation	600,000
Operating Profit before Working Capital Changes	**14,600,000**
Adjustments for Working Capital:	
(Increase)/Decrease in Trade Receivables	(2,000,000)
Increase/(Decrease) in Trade Payables & Provisions	400,000
Cash Generated from Operations	**13,000,000**
Direct Taxes Paid (Net)	(2,900,000)
Net Cash Flow from Operating Activities (A)	**10,100,000**
B. Cash Flow from Investing Activities	
Purchase of Property, Plant and Equipment (Computers & Servers)	(1,300,000)
Net Cash Flow from / (used in) Investing Activities (B)	**(1,300,000)**
C. Cash Flow from Financing Activities	
Drawings by Partners	(6,000,000)
Net Cash Flow from / (used in) Financing Activities (C)	**(6,000,000)**
Net Increase / (Decrease) in Cash and Cash Equivalents (A+B+C)	**2,800,000**
Cash and Cash Equivalents at the beginning of the year	8,400,000
Cash and Cash Equivalents at the end of the year	**11,200,000**

NOTES TO ACCOUNTS

Note 7: Fixed Asset Schedule (As per Income Tax Act, 1961 Block of Assets)

Block of Asset	Depreciation Rate	WDV as on 01.04.2023	Additions > 180 Days	Additions < 180 Days	Total Value	Depreciation for the Year	WDV as on 31.03.2024
Computers & Software	40%	1,200,000	500,000	400,000	2,100,000	760,000	1,340,000
Furniture & Fittings	10%	900,000	400,000	-	1,300,000	130,000	1,170,000
Total		**2,100,000**	**900,000**	**400,000**	**3,400,000**	**890,000***	**2,510,000**

**Note: Depreciation for accounting purposes charged to P&L is ₹ 6,00,000 based on useful life. The above is for tax computation.*

Note 13: Tax Computation Summary (AY 2024-25)

Particulars	Amount (₹)
Net Profit Before Tax as per P&L Account	14,000,000
Add: Depreciation as per Books	600,000
Less: Depreciation as per Income Tax Act	(890,000)
Total Taxable Income (Business Profession)	**13,710,000**
Tax @ 30% on Taxable Income	4,113,000
Add: Health & Education Cess @ 4%	164,520
Total Tax Liability	**4,277,520**
Less: TDS Deducted by Clients	(2,900,000)
Net Tax Payable (Provision adjusted in accounts)	**1,377,520**

****** END OF FINANCIAL REPORT ******